



Nearshore Manufacturing ESOP Fund (NMEF)

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Executive Summary

Income inequality in middle & emerging economies is a serious problem, stifling economic development and leading to lower standards of living for working class citizens. However, growth in these economies presents a **significant opportunity for equitable wealth creation** for the working class

Employee Stock Ownership Plan ("ESOP") buyout funds in the US have shown to be an effective way to address income inequality for workers while providing change-of-control liquidity to business owners and meaningful returns to investors

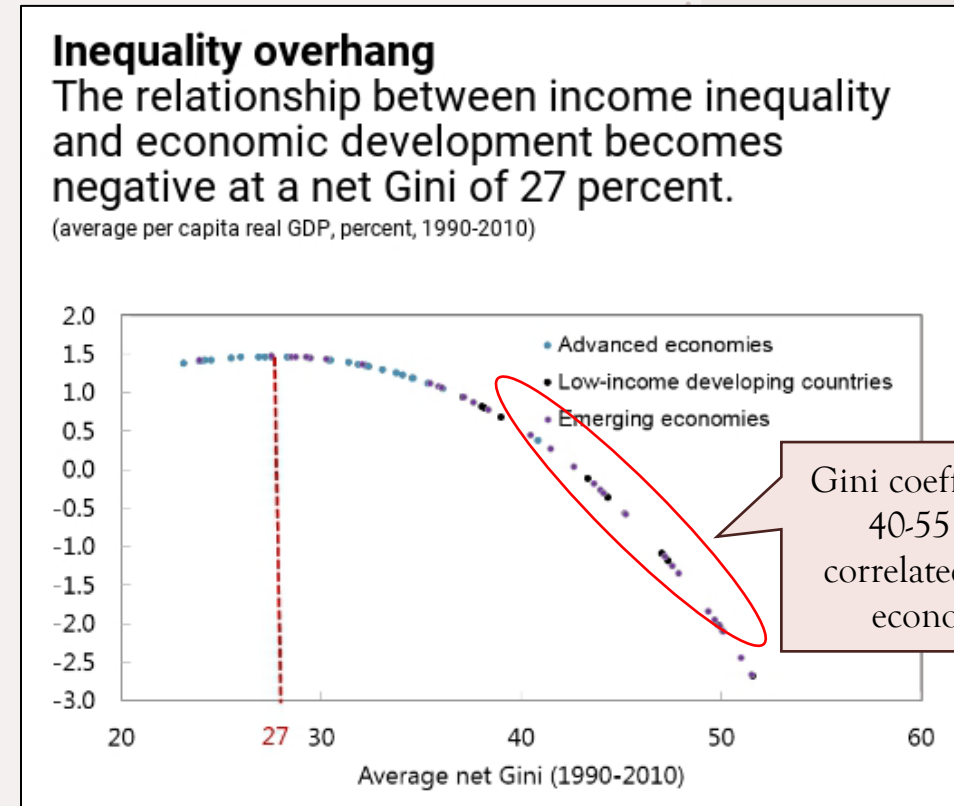
The ESOP buyout model can be replicated in Mexico and across LATAM to distribute wealth at critical growth junctures – helping the working-class afford a better standard of living and save for retirement, thereby **reducing inequality**

Our solution, the **Nearshore Manufacturing ESOP Fund (NMEF)**, will facilitate ESOP buyouts of nearshore manufacturing firms while offering attractive returns for socially-conscious investors. This fund offers a differentiated solution and fills a valuable need in the market

Problem: Income inequality in developing & middle economies in Latin America is a massive problem, limiting economic development and leading to high rates of poverty

Country	Gini index	GDP per capita (\$k)
Belize	40.7	7
Argentina	42.0	13
Mexico	43.8	11
Chile	44.9	15
Ecuador	45.5	6
Nicaragua	46.2	2
Costa Rica	47.2	13
Honduras	48.2	3
Guatemala	48.3	5
Panama	48.9	17
Brazil	52.0	9
Colombia	54.8	7

Representative group of LATAM countries (non-comprehensive)

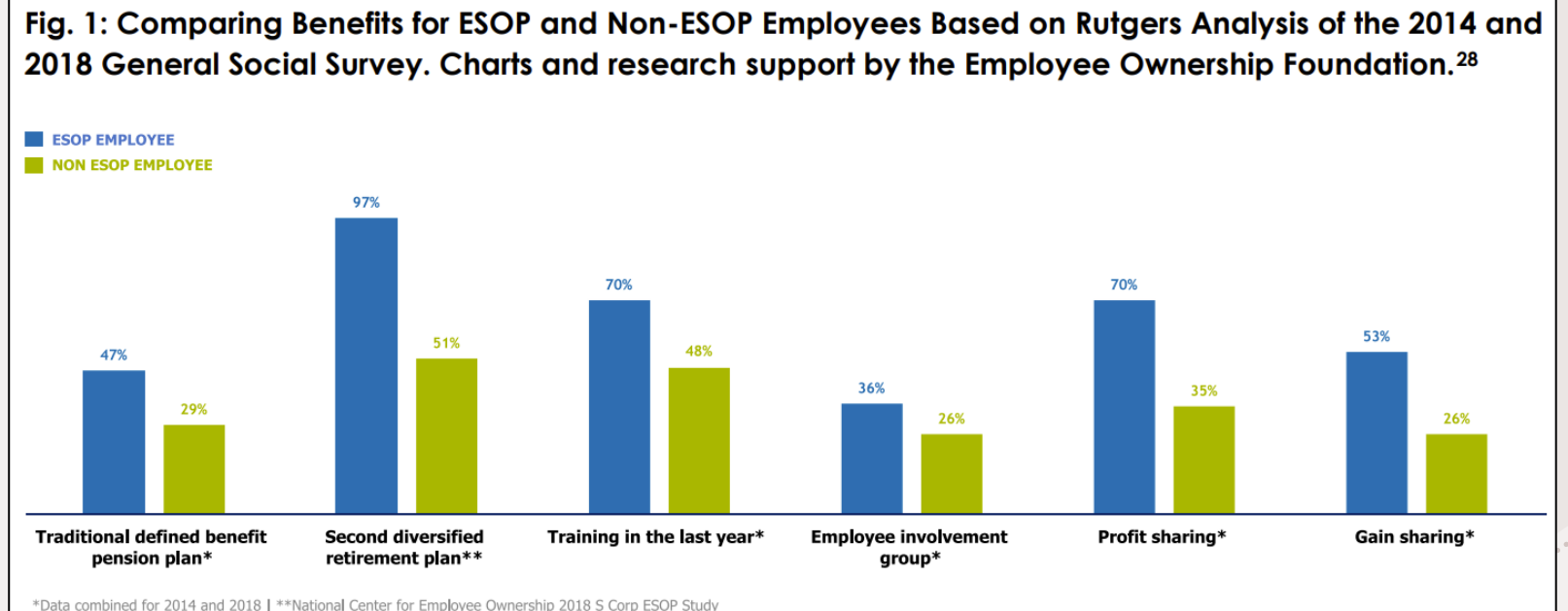


“Estimates show that higher income inequality is associated with higher rates of poverty and increases in income inequality are associated with increases in poverty.”

Abigail McKnight, Director, London School of Economics

Opportunity: Employee Stock Ownership Plan (ESOP) buyouts have helped reduce income inequality in the US

- An Employee Stock Ownership Plan (ESOP) is an employee benefit plan that gives workers ownership interest in the company in the form of shares of stock
- ESOP buyouts generate liquidity for existing shareholders while transferring **greater ownership to employees**
- Relative to non-employee owners, employee owners have:
 - 92% higher median household net wealth
 - 33% higher median income from wages
 - 2.5x greater retirement accounts



Opportunity: How can we apply the ESOP buyout model to LATAM countries experiencing income inequality?

Target criteria

1. High income inequality
2. Large country
3. Sizable, growing industry
4. Possesses hard assets
5. Stable rule of law
6. US proximity (nearshoring trend)

Mexico



- Population of 127M & GDP of \$1.3T
- Gini Index of 43.8 (26th globally)
- Top US global trading partner

Mexican manufacturing



- 18.5% of GDP and 48% of FDI
- Ample collateralizable assets including factories, machinery, land, buildings, etc.



Solution

ESOP buyouts of middle-market
Mexican manufacturing
enterprises for the benefit of the
working-class through the
**Nearshore Manufacturing ESOP
Fund (NMEF)**

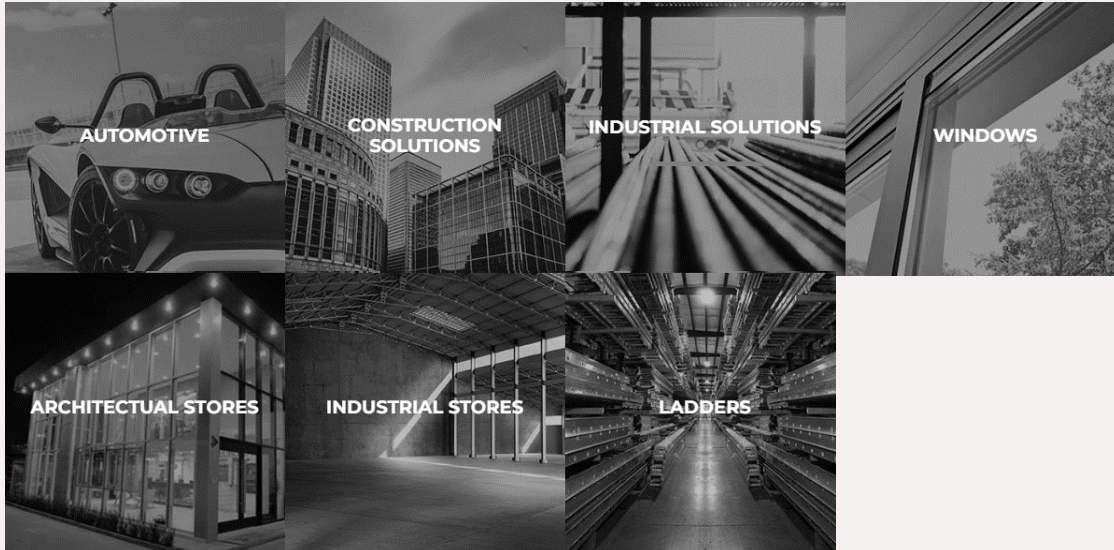
Mexican Manufacturing Market Overview

Illustrative Target Profile



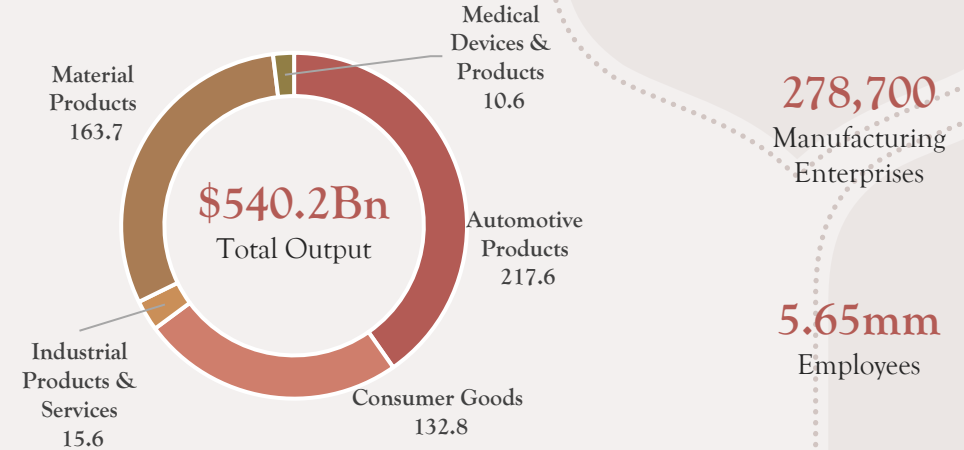
Founded: 1948
Headquarters: Nueva Leon, Mexico
Revenue⁽²⁾: \$334.96mm
Employees: ~6,000

- With over 60 years of experience, Cuprum has become one of Latin America's largest aluminum exporter
- Cuprum (the "Company") specializes in designing and manufacturing ladders for sale in Mexico, the United States, and Canada
- In addition, The Company provides specialized aluminum shapes through cutting, bending, drilling, and machining processes

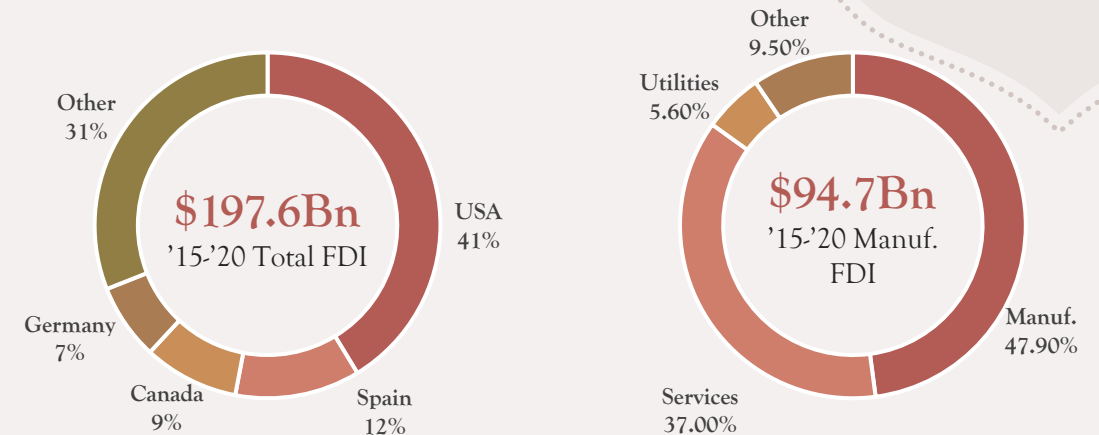


(1) Statista; as of 2024; (2) Dun & Bradstreet

Market Size⁽¹⁾



Foreign Direct Investment



Product Structure: This fund will operate akin to a traditional LP-GP structured private equity fund, with the fund sponsor acting as the GP and outside investors as the LPs

Product Details

- **Returns:** The fund will target a 2x Gross MOIC and a 20% Gross IRR. The fund intends to use substantial outside debt (~50-75%) to finance its deal and increase its target universe.
- **Management Equity:** Existing firm management will have the option to **roll over any equity** into the new structure, pari pasu with NMEF structured equity, thus incentivizing continuity of management and aligning incentives between management and the ESOP.
- **Additional financial incentives:** ESOP buyout deals can be structured to include **warrants** as part of sponsor structured equity, thus allowing sponsor to participate in equity upside and potentially increase IRR.

Terms

Fund Size	\$300-500M
Fund Life	8-12 years
Target Investors	Institutional, Govt., Endowments, Foundations, Donor-Advised Funds
Target IRR	15%
Target MOIC	2x
Fee Structure	2% mgmt. fee (p.a.), 20% carry

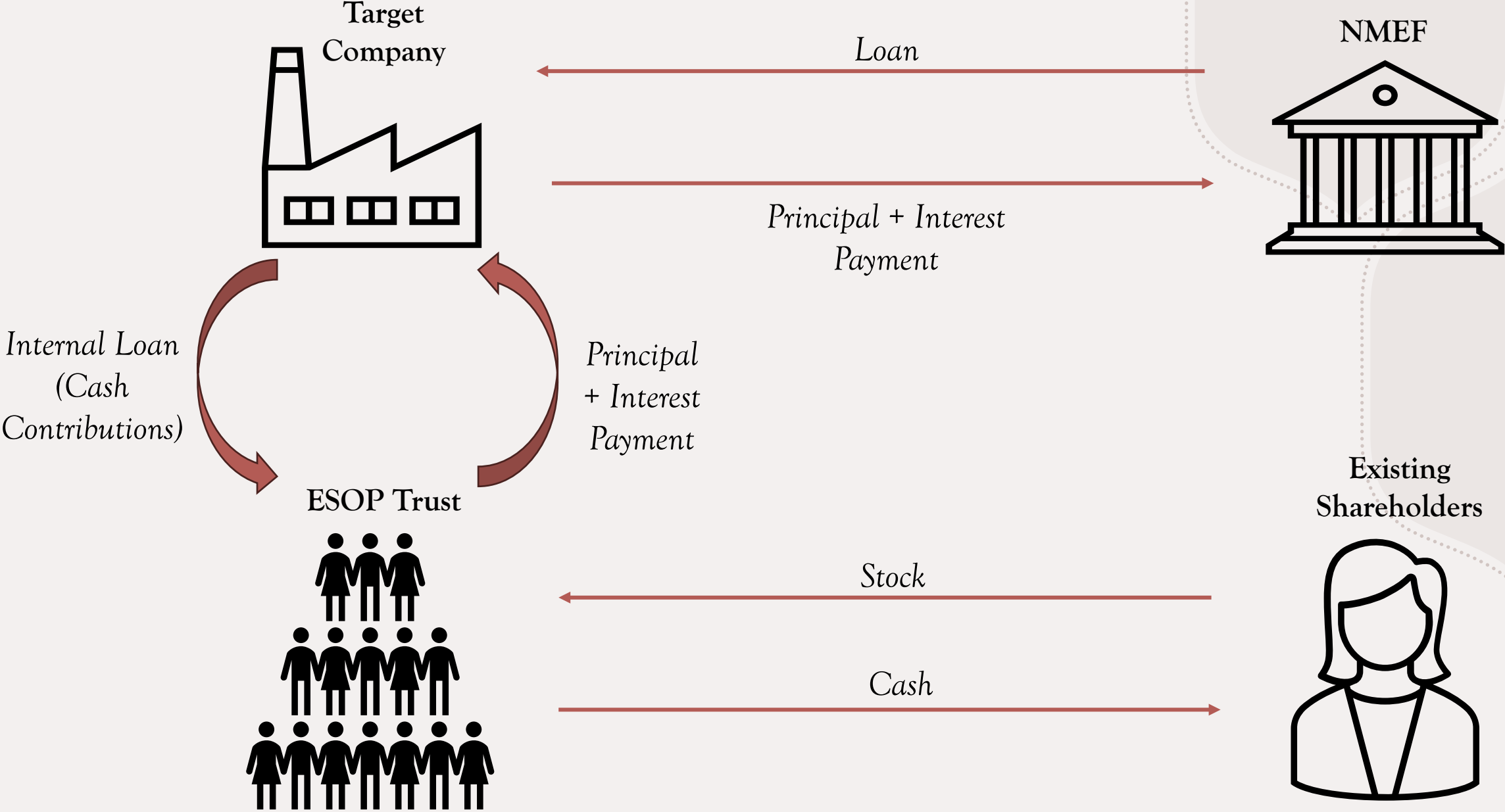
Target Firm Characteristics

EBITDA	\$15-30M
EBITDA Interest Coverage	3x
FCCR	1.5x

Hypothetical Capital Stack

	Target %	Target Terms
External Debt (Senior)	50-75%	SOFR + 350 bps
Sponsor Structured Equity	25-50%	18-22%

How It Works: Fund Investment Flow Diagram



How It Works: ESOP Buyout Lifecycle Diagram

HoldCo & ESOP Trust Setup

The Fund Sponsor establishes a new "HoldCo" as the purchasing entity. Simultaneously, an "ESOP Trust" is created, subscribing to 100% of HoldCo's shares.

Buyout Transaction

The Fund Sponsor secures financing through external debt and internal equity. The Fund Sponsor loans cash to target, which passes these proceeds to the ESOP Trust. Post transaction closing, the ESOP Trust owns 100% of HoldCo, which, in turn, owns 100% of Target. Importantly, management has the opportunity to roll over their equity.

Post Transaction

Shares are released from the ESOP Trust for distribution among employees as the company repays loan with its cash flow. Senior Debt is repaid through annual coupon payments and a final principal payment (either via refinancing or available cash), while Fund Sponsor structured equity receives annual returns through cash or PIK interest, with final payback during a recapitalization event.

Future

ESOP can be structured to repurchase shares from employees who retire/leave from the company, effectively providing a market for the company's shares and ensuring continued ownership for future employee generations.

Product Differentiation: ESOP buyouts do not exist in Mexico and existing solutions fail to address income inequality and limit upside distribution

ESOPs in Mexico

- Similar to US ESOPs
- Might be organized through trusts (fideicomisos)
- Mostly used by tech startups and multinational corporations operating in Mexico
- Allow employees to acquire shares of the company they work for

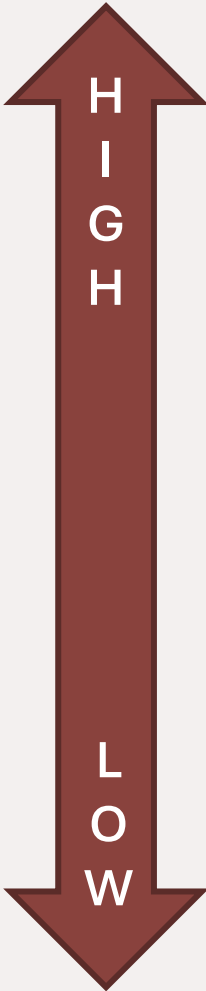
Used to attract/ retain highly-skilled workers

Participación de los Trabajadores en las Utilidades (PTUs)

- Profit-sharing mechanism mandated by law
- Applicable across a broad range of sectors: manufacturing, retail, services and tech
- Benefit a wide range of workers – distribution based on salary and tenure
- Help link financial benefits to company performance

Fixed % of profits shared with employees (usually 10%)

Challenges, Risks & Mitigants: NMEF will leverage local legal counsel & financial advisors to manage unique risks inherent to the market.



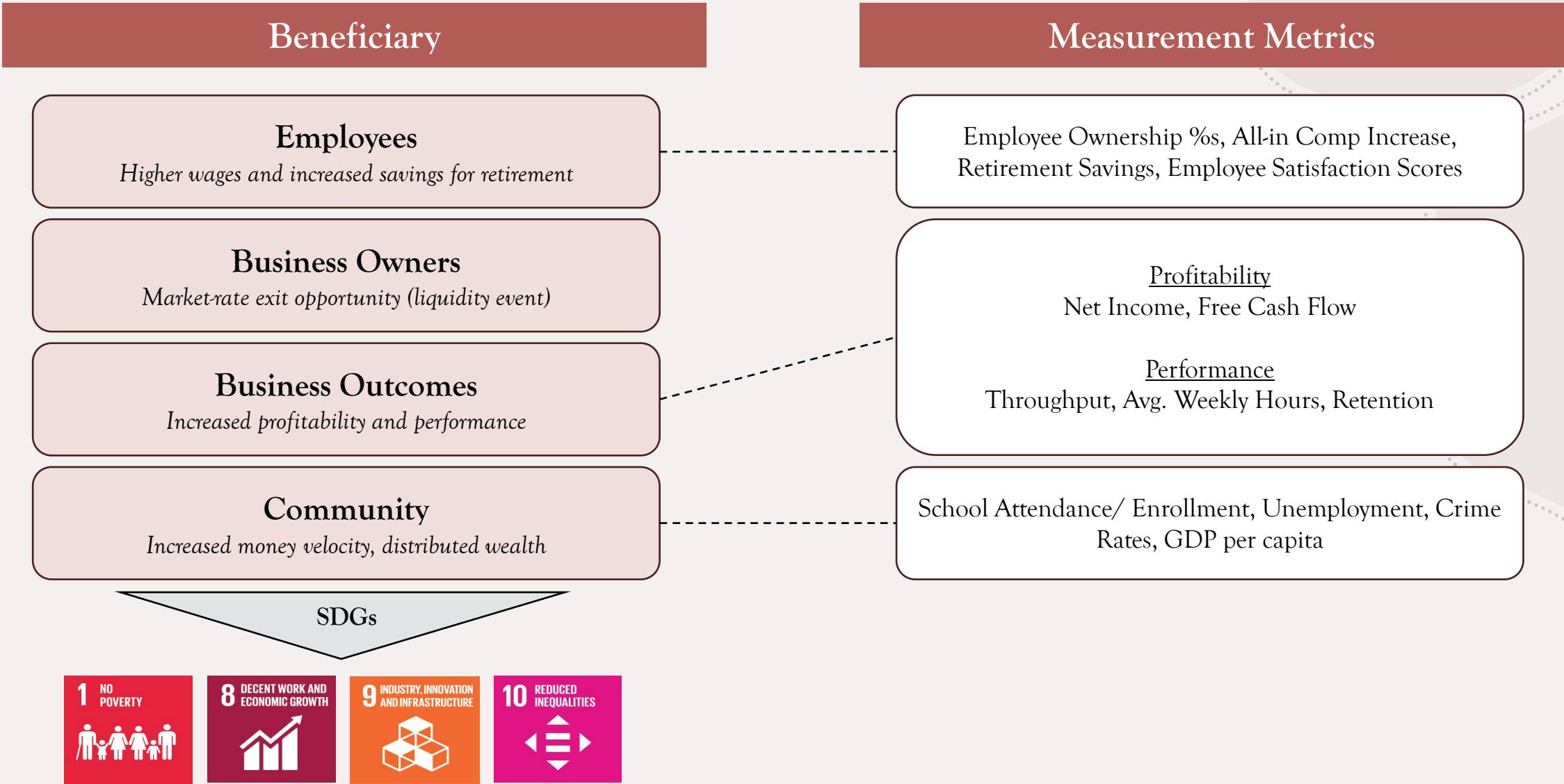
<i>Risk/Challenge</i>	<i>Mitigants</i>
Market Risk	Potential consolidation and securitization of loans – distributed risk
Credit Risk	Prioritize businesses with stable free cash flows with high coverage ratios
Compliance	US-based fund + SPV w/ Mexican and US legal counsel
Scalability	Pilot-phase, continual scoping/sourcing in adjacent industries & markets
Ecosystem	Leverage global banks w/international relationships & ESOP experience
Implementation	Proper in-house treasury, legal, tax and finance teams; HR key-person ID
Governance	Employee education programs, NMEF board rep + employee board rep(s)
Operations	New/ or promoted local company GM role to steer day-to-day
Development	ICM membership, Mexico middle-market PE conferences
Currency Risk	Hedging with FX instruments (forwards, swaps)
Sourcing	Partnerships with local investment banks, trade show promotions
Structuring	Mexican and US financial advisors, Fideicomiso (Mexican ESOP Trust)

US-Mexico Double Taxation Treaty, FATCA

Withholding tax reduction or exemption, foreign tax credits

Key Benefit: lower risk of unionization

Impact: NMEF benefits employees, business owners and business outcomes while spurring community-level development.



Appendix



Team Overview



David Clark Guillermo

David graduated from Wheaton College (IL) in 2016 with a B.A. in Economics. He started his career in Investment Banking at Goldman Sachs and most recently led Bird's Corporate Development team. David was born in Mexico and grew up in Minnesota.



Curtis Stokes

Curtis graduated from the University of Notre Dame in 2018 with a B.A. in Finance and Political Science. He started his career at Bain & Company and most recently led Product at Milu Health.



Andrew Meisenbacher

Andrew graduated from the University of Notre Dame in 2018 with a B.A. in Economics and Chinese. He spent his career before Kellogg at Vanguard, most recently serving as an Equity Product Strategy Manager responsible for US product R&D.



Andrew Grosse

Andrew graduated from the University of Maryland in 2015 with a B.S. in Finance. He has held positions as a Credit Analyst at Bank of America, Investment Banking Analyst at Houlihan Lokey and Baird, and Senior Associate at Sagewind Capital.

Countries we considered in the peer set

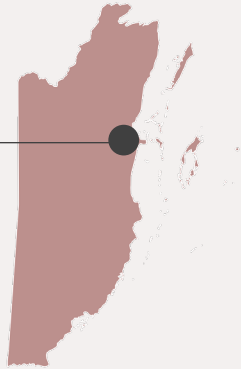


Mexico

Population: 127m

GDP: \$1.3T USD

Gini Index: 45.4 (26th globally)

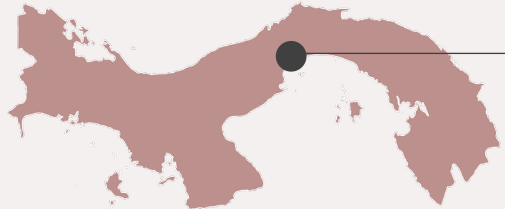


Belize

Population: 400k

GDP: \$2.5B USD

Gini Index: 49.8 (14th globally)



Panama

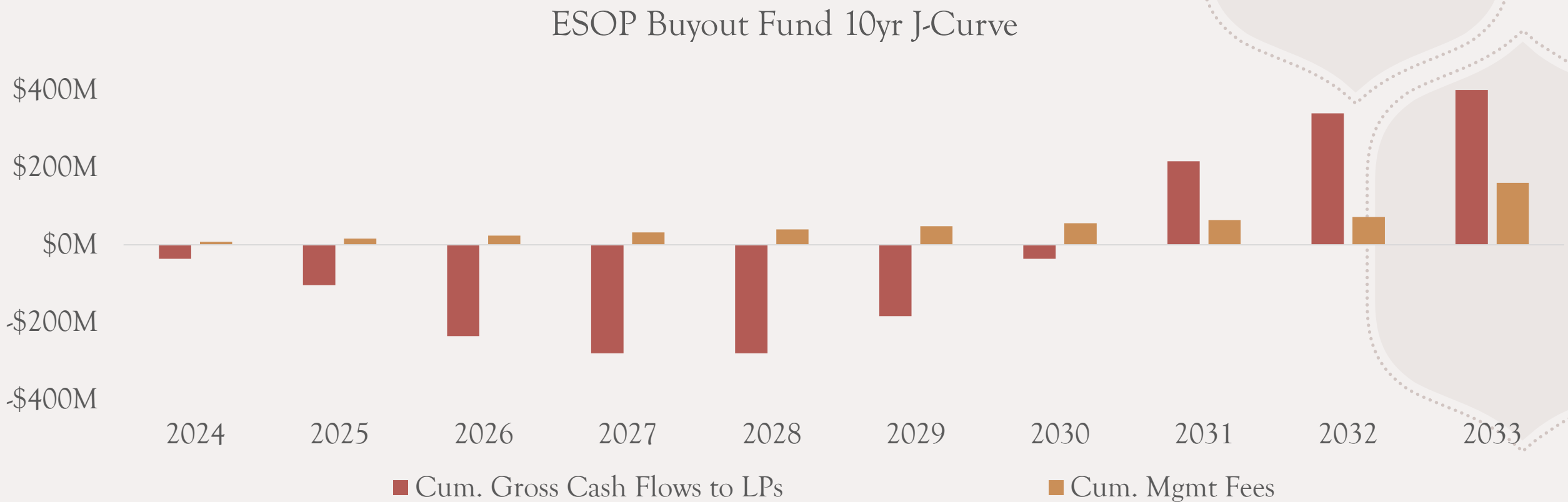
Population: 4.5m

GDP: \$63B USD

Gini Index: 49.8 (15th globally)

- Income inequality in emerging & middle economies is a **massive global problem**, contributing to poor standards of living and slow economic growth
- Inequality persists because labor forces are typically **unable to access long-term benefits that create wealth** (e.g., retirement plans) or **ownership** (e.g., stock options)
- This problem is especially pertinent for **workers in the industries that drive economic growth for these countries**, such as manufacturing. These workers power the economic engine, but don't receive the commensurate benefits

Fund Return Profile: This fund offers attractive risk-adjusted returns, with a return profile (J-Curve) familiar to traditional private equity investors.



Key Assumptions:

- 1) Invested capital returned 5 years after each ESOP investment
- 2) 20% total interest split 10%/10% cash/PIK
- 3) PIK interest returned as cash at investment exit
- 4) Assumes all capital (\$400M) is allocated by year 5

Illustrative Example of Fund Flows: The NMEF “looks and feels” like a traditional buyout fund, offering attractive risk-adjusted returns to LPs while transitioning firm ownership to employees.

ESOP Buyout Fund J-Curve											
Year	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	
Contributions	-\$40M	-\$80M	-\$160M	-\$80M	-\$40M						
Total Capital Deployed	\$40M	\$120M	\$280M	\$360M	\$400M	\$360M	\$280M	\$120M	\$40M	\$0M	
PIK interest (non-distributed)	\$4M	\$12M	\$28M	\$36M	\$40M	\$36M	\$28M	\$12M	\$4M	\$0M	
Distributions (Cash Interest)	\$4M	\$12M	\$28M	\$36M	\$40M	\$36M	\$28M	\$12M	\$4M	\$0M	
Distributions (PIK Interest)						\$20M	\$40M	\$80M	\$40M	\$20M	
Distributions (Invested Capital)						\$40M	\$80M	\$160M	\$80M	\$40M	
Gross Cash Flows to LPs	-\$36M	-\$68M	-\$132M	-\$44M	\$0M	\$96M	\$148M	\$252M	\$124M	\$60M	
Cum. Gross Cash Flows to LPs	-\$36M	-\$104M	-\$236M	-\$280M	-\$280M	-\$184M	-\$36M	\$216M	\$340M	\$400M	
Annual Mgmt Fee	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	-\$8M	
Carry											-\$80M
Net Cash Flows to LPs	-\$44M	-\$76M	-\$140M	-\$52M	-\$8M	\$88M	\$140M	\$244M	\$116M	-\$28M	
Cum. Net Cash Flows to LPs	-\$44M	-\$120M	-\$260M	-\$312M	-\$320M	-\$232M	-\$92M	\$152M	\$268M	\$240M	
Mgmt Fees	\$8M	\$8M	\$8M	\$8M	\$8M	\$8M	\$8M	\$8M	\$8M	\$88M	
Cum. Mgmt Fees	\$8M	\$16M	\$24M	\$32M	\$40M	\$48M	\$56M	\$64M	\$72M	\$160M	

Assumptions	
Fund Life	10 years
Fund Size	\$400M
Average Deal Size	\$40M
Average Time to Exit	5 years
Total Interest (p.a)	20%
Cash Interest (p.a)	10%
PIK interest (p.a)	10%
Mgmt fee (p.a)	2%
Carry (on gross MOIC)	20%
Gross IRR:	18.76%
Gross MOIC:	2.00x
Net IRR:	12.21%
Net MOIC:	1.60x

Tax & Legal Considerations

Tax & Regulation

- Mexico withholding tax on dividends and interest payments paid to foreign investors, typically 10% - may be reduced US-Mexico tax treaty, and can be mitigated with US foreign tax credits
- Double Taxation Treaty: provides reduced rates of withholding tax and mechanisms for tax relief to avoid double taxation
- US fund W-8BEN-E form to certify US residency and eligibility for treaty benefits
- US FATCA reporting requirements

Corporate Income Tax (Impuesto Sobre la Renta, ISR)

ESOP-companies are not tax exempt, but may be eligible for certain tax benefits, credits, or deductions

Labor Laws

Relationship with unions can vary by state, with some regions having a stronger union presence or more active labor movements

Fund & Trust Structure

- Fund structured as a US-based GP-LP with a Mexican SPV intermediary
- Mexican SPV would need to comply with Mexican tax reporting, filing requirements, transfer pricing rules, and would be subject to Mexican corporate income tax
- Fideicomiso: Mexican trust for ESOPs. Can own 100% of the shares of a Mexican company
- Trustee has a fiduciary duty to the beneficiaries of the Fideicomiso

Local (non-Federal) Mexican Regulation

- Each Mexican state has its own legal and regulatory nuances
- Some Mexican states offer incentives for investment and economic development (Monterrey, Queretaro, San Luis Potosi, Puebla, Guanajuato, Tijuana, Mexicali, Juarez, Chihuahua, and Guadalajara)
- Zonas Económicas Especiales (ZEEs): offer various tax and customs benefits to qualifying companies

Fund Operations

GP-LP Agreement

- The NMEF GP-LP Agreement will specify in fair and transparent terms the rights and obligations of the fund sponsor, while setting expectations for the fund LPs – namely, a ~10-year lock-up of capital and an uncertain distribution schedule.
- The Agreement will also clarify the dual objective of the fund – to produce attractive risk-adjusted returns while facilitating wealth and ownership transfer to manufacturing employees in nearshore countries.

Board Seat Considerations

- For NMEF portfolio companies, alignment of the fund sponsor, company management, employees, and the board will be paramount.
- NMEF portfolio companies will have their Boards split between NMEF leadership, existing company management and outside independent directors, with no party occupying a control position.

Deal Sourcing Pipeline

- Potential deals will be sourced from a variety of outlets, including primary research using data providers, local investment bankers, consultants, existing middle-market PE firms investing in Mexico, and local trade shows/conferences.
- Examples of the latter include *GIFA Mexico* in Mexico City and *Expo Manufactura* in Monterrey.

Target investors

